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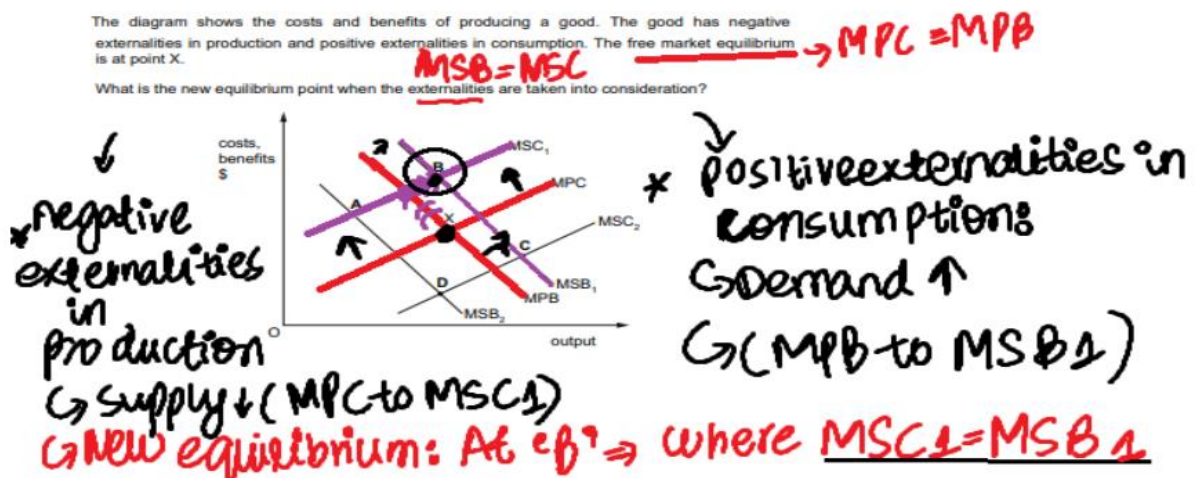
1-D:- The statement "**no-one can be made better off without making someone else worse off**" is a definition of Pareto efficiency, which means that resources are allocated in such a way that no individual can be made better off without making someone else worse off. This implies that the economy's resources are being used efficiently, **or in other words, the economy is operating on the production possibility curve**, as there is no way to reallocate resources to make someone better off without harming someone else. This explains that key D is correct.

A) The premise does not imply that individuals are the best judge of their own well-being.

B) The premise does not imply that individuals will behave rationally; it only suggests that resources are allocated efficiently.

C) The distribution of income may not be socially optimal, even if resources are allocated efficiently. Efficiency and equity are separate concepts.

2-B:



3-A:

A – The additional noise pollution suffered by residents local to airport X, represents the external costs of expanding the airport, as these are costs borne by the third party who is not directly involved in the transaction, for which, no appropriate compensation is made. Additionally, we can also not attach a price or a monetary value to this suffering because externalities do not go through the market directly.

B – As a result of the Airport Commission's decision to not expand airport Y, when the airport Y suffers a financial loss, this again does not represent an externality, because firstly it is not a third-party effect and secondly, prices or monetary values can be attached to this .

C – An increase in the profits of the firm operating airport X, represents "private benefits"

D – The monetary costs of the construction to expand airport X, represents "private costs".

4-B:

B) The marginal utility of X divided by the price of X must equal the marginal utility of Y divided by the price of Y. The equi-marginal utility rule states that a consumer will allocate their budget among different goods and services in such a way that the **marginal utility per price is equal across all goods and services**. This is expressed mathematically as:

$$MU_x / P_x = MU_y / P_y$$

A) The marginal utilities of X and Y don't need to be equal.

C) The prices are in the wrong positions.

D) The prices don't need to be equal.

5-A:

A - A budget line shows all possible combinations of two goods available to consumers that can be purchased with their money income. The cost of each of the combinations is equal to the given money income of the consumer, since operating on the "budget line" means that all income is spent. This is why, this becomes correct.

B- Combination of goods that a consumer wants to buy is shown through the "indifference curve"

C - The difference between a government's income and expenditure represents a "fiscal budget"

D – Maximum potential output of two goods that can be produced using given resources is shown through the "PPC"

6-A:

A – Since the price of X has decreased, because of which, the spending of other goods has increased, it can be said that the other goods and good X are complements. **This is not a valid justification for giffen goods, as in case of X being a giffen good, the new equilibrium must be in the opposite direction, and the income effect must outweigh the substitution effect, such that , a fall in the price of good X results in a fall in qty demanded of good X.**

B – This statement is a valid statement as point E2 , which is on a higher indifference curve (IC2), and is also on the consumer equilibrium, where utility-maximizing condition is established , yields a greater satisfaction than the point E1.

C - This statement is a valid statement as while drawing the budget lines, an assumption is taken that the prices of other goods are held constant.

D - This statement is a valid statement as a fall in the price of X has resulted in the budget line to pivot outwards from YL to YM.

This explains why key A becomes correct.

7-C:

The characteristics listed are consistent with an oligopolistic market structure:

- High advertising expenses suggests the **existence of market barriers**.
- High start-up costs create barriers to entry for new firms. (**Cost barriers**)
- There is a greater degree of interdependence which creates **uncertainty**.
- The concentration of market share among the top five firms (85%) indicates a **high degree of market concentration**, which is typical of oligopoly.

Here's why the other options are incorrect:

A) Monopoly: A single firm would dominate the market, but the list mentions multiple firms competing.

B) Monopolistic competition: While advertising and product differentiation are similar, the market share concentration and high start-up costs don't fit.

D) Perfect competition: This market structure is characterized by many firms, free entry and exit, and no market power, which doesn't match the listed characteristics

8-D:

Here's why:

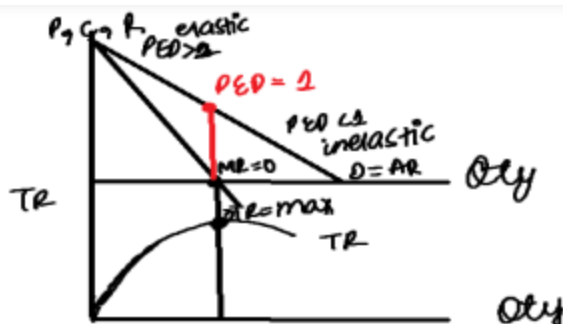
- Firms are free to enter the market if they see an opportunity to earn profits.
- As firms enter, the **typical demand curve faced by an individual firm and market share of existing firms decreases**, reducing their profits **to a level where supernormal profits are converted into "normal profits"**
- As firms exit, the market share of remaining firms increases, increasing their profits.
- This process continues until firms are earning only normal profits, where total revenue equals total cost. **This explains why key D is correct.**

A) Consumer resistance refers to consumer opposition to price increases, but it doesn't explain why firms make only normal profits.

B) Decreasing returns to scale refers to a situation of diseconomies of scale.

C) Differentiated products are a characteristic of monopolistic competition, but they don't directly explain why firms make only normal profits.

9- B:



Price	Qty	TR = P x Q	AR	MR	Price & TR relationship	Elasticity
10	2	20	10	10		
9	3	27	9	8	Negative	Elastic
8	4	32	8	6	Relationship	demand
7	5	35	7	4		
6	6	36	6	2	When MR=0, TR is max & TR unchanged	Unitary demand
5	7	35	5	0		
4	8	32	4	-2	Positive	Inelastic
3	9	27	3	-4	relationship	demand
2	10	20	2	-6		
1	10	10	1	-8		

→ It can be seen in the diagram above that when Marginal Revenue is equal to zero, that is when, Total Revenue is maximized, and beyond which, the total revenue cannot rise, which means that it will stay unchanged. This means that when **MR=0**, that is when, the demand will be unitary-elastic, or in other words, PED will be =1.

This explains why, option B, will be correct.

A – “A” represents the profit maximizing level of output because $MC=MR$

C – “C” represents the level of output where normal profits are made because $AC=AR$

D= Here, $AR = 0$.

10-A:

Price discrimination requires:

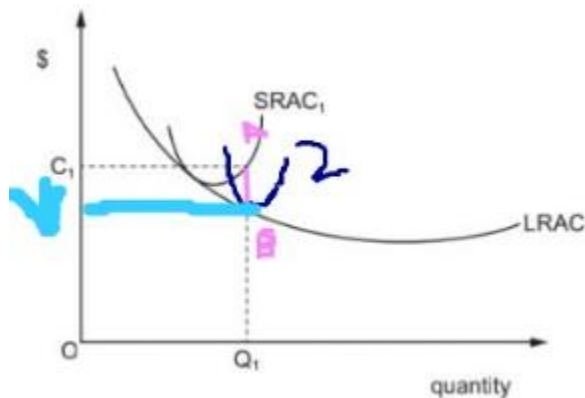
1. The ability to separate the market into distinct sub-markets (segmentation).
2. Different price elasticities of demand (PED) in each sub-market, allowing the firm to charge different prices.

Condition 3, "The marginal revenue curve is the same in each separate market", is not a necessary condition for price discrimination.

Price discrimination enables firms to charge different prices to different customers based on their willingness to pay, allowing firms to capture more consumer surplus and increase revenue.

11-B:

In the long run, when you have the flexibility to adjust the number of plants, you will choose to install a second plant (SRAC 2) to produce the same output at a lower cost. Since you have the flexibility to change the number of plants in the long run, you will also be required to increase the fixed factors, such as technology and machinery apart from variable factors to operate the plant. This means that you **can increase both fixed and variable factors**, leading to an increase in production capacity and efficiency.



12-D:

A cartel operates by coordinating prices and output among member firms to maximize profits. Market stability makes it easier for a cartel to operate effectively by:

- Reducing uncertainty and making it easier to predict demand and prices, which allows them to coordinate better on pricing and output decisions. **This explains why key D is correct.**

A) Increased competition from related industries would increase pressure on the cartel to compete.

B) More firms in the industry would make it harder for the cartel to coordinate and maintain agreement.

C) A wider range of products would increase complexity and make coordination more difficult.

13-C: A **poverty trap** refers to a situation where individuals are discouraged from working or earning more income because it leads to a reduction in government benefits, leaving them no better off or even worse off. **This creates a trap that makes it difficult for individuals to escape poverty.**

In this scenario, the workers' decision to work longer hours to increase their disposable income is undermined by the reduction in state-provided benefits, leaving them worse off. This is a classic example of a poverty trap. This explains why key C is correct.

14-B:

Nationalization occurs when a government takes control of a company or industry, transferring **ownership from private hands to the state**. This means that the government becomes the owner and controller of the firm, making decisions on its operations, management, and resources. This explains key B correct.

A) Buying supplies locally rather than internationally is a decision on sourcing, not ownership.

C) Restricting share ownership to citizens of a country is not nationalization.

D) Switching sales from international to domestic markets represents an outcome of **expenditure-switching policy**.

15-C:

A – A complete ban on flights, reducing all the private costs and the external costs means that there will be no flights, which means that, there would not be any socially optimum number of flights.

B - If there is de-regulation of the global airline industry being done, this represents that rules and regulations are eased, and due to lesser restrictions now, there will be more flights, which means that, there will be higher external costs.

C – Publishing information to highlight the negative effects of flying on the environment, represents “advertising”, which will be aimed to influence individuals to reduce the demand for air-travel, as a result of which, the external costs will reduce.

D – There is no difference between the private benefit and social benefit here because the question refers to external costs here. And also, providing subsidies to passengers will make them able to travel more, as a result of which, the issue of external costs will further exacerbate.

16-B:

→ We are interested in an option that results in an improvement in both: wages and employment prospects.

Trade union power(strengthens): When the trade union power strengthens, possibly because of **it being the largest supplier of workers, making it a monopsonist union**, it is most likely to negotiate an improvement in wages and employment prospects.

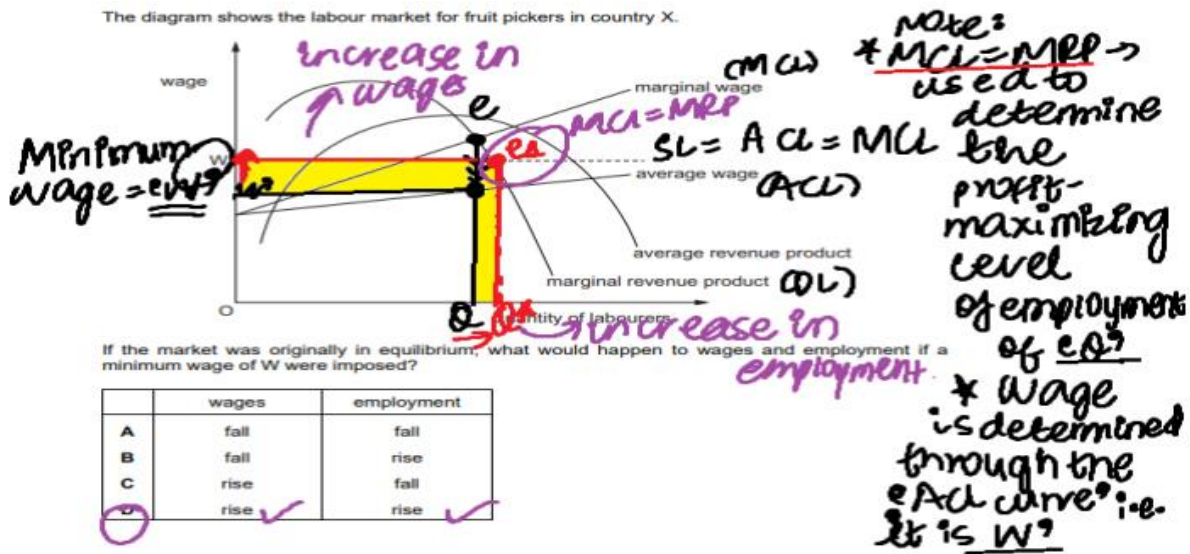


Immigration controls(strengthen): If the immigration controls are strengthened, this means that there will be a less availability of labor, and so, due to a fall in supply of labor, there will be a rise in wages paid, and since there would now not be a surplus of labor, this will improve the employment prospects too.

National minimum wage raised: As can be seen in the diagram above, if the national minimum wage is raised to the equilibrium by a monopsonist union, this will result in a rise in wages paid, and also, improve the employment prospects too.

This is why, key B, is correct.

17-D:



18-D:

Key take-away: Rapid economic growth can have both positive and negative effects, and it's important to consider these impacts when evaluating economic development

A) Greater production can lead to **increased air pollution**, harming the environment and public health.

B) A higher income level can lead to increased imports, causing a **trade deficit**.

C) Increased aggregate demand (AD) relative to Aggregate Supply can lead to **higher inflation**, reducing purchasing power.

D) In contrast, increased GDP generating greater tax receipts is a positive impact of economic growth, allowing governments to fund public services and infrastructure. This makes key D correct.

19-B:

GDP at market prices = GDP at factor cost + indirect taxes - subsidies

- GDP at factor cost represents the value of goods and services produced, without considering taxes and subsidies.
- Taxes (such as sales tax, VAT, etc.) are added to GDP at factor cost because they increase the market price of goods and services.
- Subsidies (government support to producers) are subtracted from GDP at factor cost because they reduce the market price of goods and services.

By adding taxes and subtracting subsidies, you convert GDP at factor cost to GDP at market prices, which reflects the actual market value of goods and services produced.

20-C:

The combination that indicates GDP per capita is likely to be an accurate indicator of living standards in a country over time is:

- **Income distribution = equal**
 - **Hidden economy = small (as a percentage of GDP)**
 - **Quality of goods and services produced = improving**
1. **Equal income distribution:** When income is distributed equally, GDP per capita accurately reflects the standard of living of the average person.
 2. **Small hidden economy:** A hidden economy, also known as the informal or shadow economy, refers to unreported economic activities. If the hidden economy is small, it means that most economic activities are accounted for in official statistics, making GDP per capita a more accurate representation of the economy.
 3. **Improving quality of goods and services:** If the quality of goods and services is improving, it means that the economy is producing more value-added products and services, which contributes to a higher standard of living.

21-B:

A) Cyclical unemployment occurs due to changes in the business cycle, such as recessions arising as a result of a deficiency in Aggregate demand, leading to layoffs and job losses.

B) This option is correct because frictional unemployment is indeed caused by a lack of information about job vacancies. This lack of information leads to a mismatch between job seekers and job openings, resulting in temporary unemployment (mainly search unemployment which is categorized under frictional unemployment). **This makes key B correct.**

C) A deficiency in aggregate demand is a characteristic of cyclical unemployment, not structural unemployment.

D) Voluntary unemployment is not caused by variations in the demand for labor in the year. Instead, **seasonal unemployment occurs as a result of seasonal variations in the demand of labor.**

22-B:

Since there has been a fall in percentage unemployed over the period, this represents that **expansionary policies** may have been used.

A reduction in interest rates is an **expansionary** monetary policy tool that can stimulate economic growth by:

Making borrowing cheaper for businesses-> Encouraging investment -> Boosting aggregate demand -> Creating jobs and reducing unemployment . **This makes key B correct.**

The other options are unlikely to cause a fall in unemployment:

A) A reduction in government expenditure dampens Aggregate demand which can lead to job losses and higher level of demand deficient unemployment.

C) A reduction in investment by firms can also dampen Aggregate demand, leading to job losses and higher unemployment.

D) A slowdown in global economic growth can lead to reduced demand for exports and subsequently export revenues, potentially leading to higher unemployment.

23-C:

The correct answer is C) the ease with which an asset can be converted into cash

Liquidity is a measure of the ability to sell an asset quickly enough without significantly affecting its price. It determines how quickly an individual's or a company's assets can be converted into cash to meet short-term financial obligations.

24-C:

A) A positive output gap means the economy is producing above its potential. This leads to Aggregate demand outpacing Aggregate supply which results in shortages and subsequently **demand-pull inflation**.

B) A positive output gap indicates a strong economy with high demand, which may lead to **increased imports to meet demand**. Therefore, import spending may actually increase, not decrease. This is because a growing economy often requires additional resources and goods to meet domestic demand, which may not be fully met by domestic production.

C) A positive output gap means the economy is operating above its potential, indicating a reduction in spare capacity (also known as slack). As the economy approaches full capacity, businesses may operate at maximum levels, reducing idle resources and spare capacity. Therefore, **spare capacity is likely to decrease**, making this option correct.

D) A positive output gap may lead to labor shortages and upward pressure on wages as businesses compete for scarce labor resources. Therefore, wage rates may actually increase, not decrease. This is because firms may need to offer higher wages to attract and retain workers.

25-C:

C) Monetarists believe that the velocity of money (the rate at which money is spent and re-spent in the economy) is stable and predictable, not highly unstable. This is why, this option is the right one.

A) Monetarists argue that inflation is always caused by increases in the money supply in the long run, as excess money growth leads to higher demand and prices. Link to quantity theory of money: **$MV = PT$** .

B) The long-run aggregate supply curve is indeed considered vertical by Monetarists.

D) Monetarists assume that wages are flexible, meaning they adjust quickly to changes in market conditions, including both upward and downward adjustment

This explains why key C is correct.

26-D:

$$\text{Multiplier} = 1 / (s + t + m) = 1 / (0.3 + 0.3 + 0.2) = 1.25$$

Change in AE = \$1000

$$\text{Multiplier} = 1.25$$

$$\text{Change in Real National Income (RNI)} = \text{Change in AE} \times \text{Multiplier} = \$1000 \times 1.25 = \$1250$$

And then, to find the increase in tax revenues, you multiply the increase in RNI by the Marginal Propensity to Tax (MPT), which is 0.3:

$$\text{Increase in Tax Revenues} = \text{MPT} \times \text{Increase in RNI} = 0.3 \times \$1250 = \$375.$$

This explains that key D is the correct option.

A) Import expenditure would increase by \$200m.

- This option is incorrect because the increase in import expenditure would be \$250 ($0.2 \times \1250), not \$200m.

B) Import expenditure would increase by \$1000m.

- This option is also incorrect because the increase in import expenditure would be \$250 ($0.2 \times \1250), not \$1000m.

C) Tax revenues would increase by \$75m.

- This option is incorrect because the increase in tax revenues would be \$375 ($0.3 \times \1250), not \$75m.

27-D:

A) The introduction of new technology can have a long-lasting impact on the economy, as it can improve productivity, efficiency, and competitiveness. New technology can also lead to the development of new industries and job opportunities.

B) Diversification of production can reduce the economy's dependence on primary products and make it more resilient to external shocks. By producing a wider range of goods, the economy can spread risk and increase its potential for growth and development. This can lead to a more stable and sustainable economic future.

C) Skills training can have a long-lasting impact on the workforce, as it increases their productivity and employability. Importantly, they boost the long-run Aggregate supply or productive potential of the economy and also, skills training leads to a more competitive workforce, attracting further investment and driving economic growth.

D) These resources are finite and will eventually be depleted, leading to sustainability concerns and potential environmental degradation. This is not a long-lasting benefit, as it does not contribute to the economy's long-term sustainability or development. **This explains why key D will be correct.**

28-D:

The Phillips curve shows the historical inverse relationship between unemployment and inflation. As unemployment falls, inflation tends to rise. In this case, the expansionary monetary policy aimed to boost employment led to a rise in the consumer price index (accelerating inflation). This tradeoff between employment and inflation is a key concept in macroeconomics and is represented by the Phillips curve.

A) Kuznets curve: This curve represents the relationship between economic growth and income inequality, not employment and inflation.

B) Laffer curve: This curve shows the relationship between tax rates and government revenue, not employment and inflation.

C) Lorenz curve: This curve represents income distribution, not employment and inflation.

29-D:

- Government failure = yes: The government's policy aimed to increase economic efficiency, but it led to the emigration of high-earning skilled workers, which is an unintended and undesirable outcome. This is an example of government failure because the policy had a negative consequence that was not intended.
- Market failure = no: The market is not failing in this scenario. The skilled workers are making rational decisions to leave the country in response to the increased tax rate.
- Negative externality = no: An externality occurs when a transaction or decision affects third parties who are not directly involved in the decision. In this case, the emigration of skilled workers is a direct consequence of the government's policy change, rather than an unintended **un-desirable** external effect on third parties.

30-C:

- The economy is operating at full employment, which means that all available resources, including labor, are already being utilized. In this scenario, expansionary policies like **increased government spending** (Option A) or monetary expansion through **quantitative easing** (Option B) would likely boost Aggregate demand, thereby lead to **demand pull inflation** since AD will not be matched by AS.
- Option D, reducing income tax rates, would also likely lead to a rise in disposable income and an increase in consumption expenditure, which will stimulate Aggregate demand, thereby contributing to demand pull inflation when AD outpaces AS.
- Option C, labor market reforms that increase output per hour worked is a market-oriented supply side tool. By increasing output per hour worked, the economy can produce more goods and services without increasing the number of workers or the amount of resources used. Since this reduces overall costs of production and **boosts Aggregate supply**, this means **that real national output can increase without generating inflationary pressures**.

